BEFORE THE NATIONAL COMPANY LAW TRIBUNAL,

BENCH AT ALLAHABAD

ORIGINAL COMPANY JURISDICTION

In

COMPANY PETITION(CAA) NO. 01/ALD/2021

connected with

COMPANY APPLICATION NO. 194/ALD/2020

(Under Section 230-232 read with Section 66 of the Companies Act, 2013)

In the matter of Companies Act, 2013

And

In the matter of Sections 230 -232 read with section 66 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016

And

IN THE MATTER OF

KANUPRIYA ENTERPRISES PRIVATE LIMITED

a private limited company existing under the provisions of the Companies Act, 2013 and having its registered office at "Sukhdham" Flat No. E-2, 7/17(9-10) Tilak Nagar, Kanpur- 208002, Uttar Pradesh, India, and having corporate identity number U29261UP1995PTC018782.

..... Petitioner Company No. 1/Transferor Company-1

AND

DHRITIKA HOLDINGS LIMITED

an unlisted public limited company existing under the provisions of Companies Act, 2013 and having its Registered Office at "Sukhdham" Flat No. E-2, 7/17 (9-10), Tilak Nagar, Kanpur- 208002, Uttar Pradesh, India, and having corporate identification number U65993UP1983PLC005938.

... Petitioner Company No. 2/Transferor Company-2

AND

INJECTOPLAST PRIVATE LIMITED

a private limited company existing under the provisions of the Companies Act, 2013 and having its registered office at 205, Leela Palace 7/85, Tilak Nagar, Kanpur-208002, Uttar Pradesh, India, and having corporate identification number U25201UP1996PTC020772.

... Petitioner Company No. 3/Transferee Company

AND

Their respective Shareholders and Creditors ("Scheme of Amalgamation")

ORDER DELIVERED ON : 07.04.2021

CORAM:

Hon'ble Mr. Justice (Retd.) Rajesh Dayal Khare, Member, Judicial

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APPEARANCE :
For the Applicant Companies: Mr. Rahul Agarwal, Advocate
For the Official ROC : Mr. Shivendra Bahadur ,ADV
For the Official Liquidator : Mr. Kuldeep Singh, AOL
For the Income Tax Department: Mr. Gaurav Mahajan, Adv

Per se: Mr. Justice (Retd.) Rajesh Dayal Khare, Member (Judicial)

ORDER

The instant joint petition filed under Section 230-232 of the Companies Act, 2013 by the Petitioner Companies namely:-

1. Kanupriya Enterprises Private Limited
2. Dhritika Holdings Limited
3. Injectoplast Private Limited

1. This is an application for sanctioning of the Scheme of Amalgamation amongst Kanupriya Enterprises Private Limited (Petitioner Company No. 1/ "Transferor Company 1"); Dhritika Holdings Limited (Petitioner Company No. 2/ "Transferor Company 2"); Injectoplast Private Limited (Petitioner Company No. 3/ "Transferee Company") and their respective Shareholders and Creditors ('Scheme') under Sections 230-232 read with Section 66 and other applicable provisions of the Companies Act, 2013.

2. By the present petition, the petitioner companies have prayed for the Amalgamation of the Transferor Companies into the Transferee Company on a going concern basis. The Scheme of Amalgamation ("Scheme") is annexed as Annexure-A to the petition.

3. It is stated that Kanupriya Enterprises Private Limited (Transferor Company-1 /Petitioner Company No. 1) is a company incorporated originally on 25.09.1995 in the name and style of Lohia ICBT Ltd. as a Public Limited Company. It was changed to private limited company on 22.06.2010 and its name was subsequently changed to Kanupriya Enterprises Private Limited on 10.01.2011. The registered office of the Petitioner Company No. 1 was shifted to "Sukhdham", Flat No. E-2, 7/17(9-10), Tilak Nagar, Kanpur – 208002, Uttar Pradesh on April 19, 2017. The Corporate Identification Number of KEPL is U29261UP1995PTC018782. The main objects of the Petitioner Company No. 1/Transferor Company-1 are set out in Memorandum of Association, which is annexed as Annexure-2 to the Company Application No. 194/ALD/2020.

4. The authorized, issued, subscribed and paid-up share capital of the Petitioner Company No. 1/ "Transferor Company 1" as on March 31, 2020 is as under:

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Share Capital	Amount (Rs.)
Authorized Share Capital	
5,00,000 equity shares having face value of Rs.10/- each	50,00,000
20,00,000 preference shares having face value of Rs.10/- each	2,00,00,000
Issued, Subscribed and Paid-up Share Capital	
4,24,000 equity shares having face value of Rs.10/- each fully paid up	42,40,000
Total	**42,40,000**

5. Dhritika Holdings Ltd. - Petitioner Company No. 2/ Transferor Company - 2 was originally incorporated on January 27, 1983 under the provisions of Companies Act, 1956 in the name and style of "Lohia Investments Limited" having its registered office at 113/91, Swaroop Nagar, Kanpur, Uttar Pradesh. The registered office of Dhritika Holdings Company Ltd. has been shifted to 123/389, Fazalganj, Kanpur, Uttar Pradesh on March 1, 1983; to 117/N/95, Kakadeo, Kanpur, Uttar Pradesh on May 7, 1986; to D-3/A, Panki Industrial Estate, Kanpur -208022, Uttar Pradesh on November 1, 1989; and to the current registered office situated at "Sukhdham", Flat No. E-2, 7/17(9-10), Tilak Nagar, Kanpur – 208002, Uttar Pradesh on December 2, 2017. The name of the Transferor Company-2 was subsequently changed to "Dhritika Holdings Limited" on February 6, 2019. The Corporate Identification Number of Dhritika Holdings Limited is U65993UP1983PLC005938. The main objects of the Petitioner Company No. 2/Transferor Company-2 are setout in its Memorandum of Association, which has been annexed as Annexure-5 to the Company Application No. 194/ALD/2020.

6. The authorized, issued, subscribed and fully paid-up share capital of the Petitioner Company No. 2/ "Transferor Company 2" as on March 31, 2020 is as under:

Share Capital	Amount (Rs.)
Authorized Share Capital	
5,00,000 equity shares having face value of Rs.10/- each	50,00,000

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20,000 preference shares having face value of Rs.100/- each	20,00,000
Issued, Subscribed and Paid-up Share Capital	
4,52,000 equity shares having face value of Rs.10/- each fully paid up	45,20,000
TOTAL	**45,20,000**

7. Petitioner Company No. 3/ "Transferee Company") was incorporated on October 1, 1996 under the provisions of Companies Act, 1956 having its registered office at D-3/A, Panki Industrial Estate, Kanpur -208022, Uttar. The registered office was shifted to 205, Leela Palace, 7/85, Tilak Nagar, Kanpur -208002, Uttar Pradesh on April 16, 2018. The Corporate Identification Number is U25201UP1996PTC020772. Further, on 22nd September, 2020 the company is registered under as a Medium Enterprise under Micro, Small and Medium Enterprises Development Act, 2006. The UDYAM Registration number UDYAM-UP-43-0002901. The main objects of the Petitioner Company No. 3/ "Transferee Company" are set out in its Memorandum of Association, which is annexed as Annexure-8 to the Company Application No. 194/ALD/2020.

8. The authorized, issued, subscribed and fully paid-up share capital of the Transferee Company 3 as on March 31, 2020 is as under:

Share Capital	**Amount (Rs.)**
Authorized Share Capital	
32,00,000 equity shares having face value of Rs.10/- each	3,20,00,000
80,000 preference shares having face value of Rs.100/- each	80,00,000
Issued, Subscribed and Paid-up Share Capital	
32,00,000 equity shares having face value of Rs.10/- each fully paid up	3,20,00,000
TOTAL	**3,20,00,000**

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9. The counsel for the Petitioner Companies submitted that the amalgamation of the Transferor Companies into the Transferee Company shall provide the following benefits:

   1. *Consolidation and simplification of the holding structure by reducing the corporate shareholding tiers;*
   2. *Reduction in the multiplicity of legal and regulatory compliances required at present to be carried by the Transferor Companies and will avoid duplication of administrative functions and eliminate multiple record keeping, consequently reducing the administrative costs of maintaining separate companies.*
   3. *Greater efficiency in the combined business in terms of pooling of resources, management team, and the optimum utilisation of resources*
   4. *The businesses and activities of the Transferor Companies and Transferee Company will be carried on more economically, conveniently and advantageously post the proposed consolidation and the same will have beneficial results for the said Companies, their shareholders, stakeholders and all concerned*

10. Therefore, in view of the above, the present Scheme proposes amalgamation of the Transferor Companies into the Transferee Company on a going concern basis.

11. That the Scheme of Amalgamation has been approved by the Board of Directors of the Petitioner Companies by passing resolutions which are annexed as Annexure B to the petition.

12. It is also submitted that the Scheme does not involve any compromise with the creditors of any of the Petitioner Companies in any manner whatsoever. As such, the Scheme does not in any manner adversely affect the interests of any of the creditors of the Petitioner Companies. Due provisions have been made for payment of all their liabilities as and when the same fall due in the usual course.

13. Further, the Auditors of the Petitioner Companies have not disclosed any mismanagement in their affairs. No proceedings under Sections 210 - 229 of the Companies Act, 2013 are pending against any of the Applicant Companies.

14. It is also stated that the Petitioner Companies have duly complied with the Accounting Standards. Certificate from the auditors of the Petitioner Companies regarding the accounting treatment under the Scheme being in compliance with the Accounting Standards have been enclosed as Annexures 15 – 17 to the Company Application No. 194/ALD/2020.

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15. It is submitted that none of the Directors, Managing Directors or managers of the Petitioner Companies have any material interest in the Scheme, except to the extent of their shareholding in such companies.

16. The counsel further submitted that the Petitioner Companies have obtained report on the Share Exchange Ratio / Share Entitlement Ratio by Madhvi Takiar Sehgal Registered Valuer, dated 21.09.2020 which is enclosed as Annexure-14 to the Company Application No. 194/ALD/2020.

17. A perusal of the present petition discloses that initially the Petitioner Companies have filed Company Application No. 194/ALD/2020 seeking *inter-alia* for the following directions:

(a) dispensing with the requirement of convening of the meeting of the Equity Shareholders of the Applicant Company No.1/ Transferor Company-1;

(b) dispensing with the requirement of convening of the meeting of the Equity Shareholders and Unsecured Creditors of the Applicant Company No.2/ Transferor Company-2;

(c) dispensing with the requirement of convening of the meeting of the Equity Shareholders of the Applicant Company No.3/ Transferee Company;

***(d)** to pass orders/ directions, directing the Applicant Company No.3/ Transferee Company to issue individual Notices and to convene, hold and conduct the meeting of the Unsecured Creditors;*

***(e)** issue notices to the Central Government (through the Regional Director) and the Registrar of Companies and the Official Liquidator of this application;*

***(f)** to consider and sanction the Scheme of Amalgamation between Kanupriya Enterprises Private Limited and Dhritika Holdings Limited (Formerly "Lohia Investments Limited") and Injectoplast Private Limited and their respective shareholders and creditors;*

***(g)** Declare that upon this Scheme becoming effective, the Transferor Companies shall, without any requirement of a further act or deed, stand dissolved without being wound up without any requirement for any further act by the Companies, in accordance with the Companies Act, 2013;*

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(h) *Declare that the respective names of the Transferor Company Nos. 1 to 2 shall be struck off from the records of the Registrar of Companies and the Transferor Companies and Transferee Company shall make necessary filings in this regard;*

(i) *Declare that Upon this Scheme becoming effective, the authorized share capital of the Transferor Companies shall stand combined with and be deemed to be added to the authorized share capital of the Transferee Company without any requirement of a further act or deed on the part of the Transferee Company;*

(j) *Direct that Clause V of the Memorandum of Association of the Transferee Company shall stand modified and be substituted by the following:*

"The Authorised Share Capital of the Company is Rs. 7,20,00,000/- (Rupees Seven Crores and Twenty Lacs only) divided into 42,00,000 (Forty Two Lacs only) Equity Shares of face value of Rs.10/- each, 1,00,000 (One Lacs only) Preference Shares of face value Rs.100/- each and 20,00,000 (Twenty Lacs only) 5% Cumulative Redeemable Preference Shares of face value of Rs 10/- each with power to increase, reduce, convert, sub-divide and consolidate the same and to issue any of the shares in the capital, original or increased, and to attach thereto respectively such preferential, qualified or special rights, privileges or conditions as regards dividends and payment of capital as may be determined by or in accordance with the regulations of the Company and with power to vary, modify or abrogate any such rights, privileges or conditions in such manner as for the time being is provided by the regulations of the Company and subject to the provisions of the Companies Act, 2013."

(k) And the fee paid by the Transferor Companies on their authorised share capital shall be set off against any fee payable by the Transferee Company on its authorised share capital subsequent to the amalgamation.

18. Accordingly, this Bench by orders dated 28th October, 2020 (as modified by order dated 2nd November, 2020) allowed the above mentioned prayers and directed to convene meetings of the unsecured creditors of the Petitioner Company No. 3/ "Transferee Company" on 19th December, 2020 for the purpose of considering and if thought fit, approving, with or without modification(s), the Scheme of Amalgamation.

19. Mr. Ranajit Shome, Advocate was appointed as the Chairperson; Mr. Aman Kumar Dwivedi, Advocate was appointed as the Alternate Chairperson and Mr. Sashi Kant Gupta, PCS was directed to act as the

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Scrutinizer for the meetings of the unsecured creditors of the Petitioner Company No. 3/ "Transferee Company".

20. This Tribunal further directed the Petitioner Companies to serve notices upon (a) the Central Government through the Regional Director (Northern Region), Ministry of Corporate Affairs, New Delhi; (b) the Registrar of Companies, Uttar Pradesh (c) the Official Liquidator, Allahabad (d) the Income-Tax Authorities and other sectoral regulators, as may be applicable, with a direction that they may submit their representations, if any, within a period of thirty (30) days from the date of receipt of such notice to the Tribunal with a copy of such representations simultaneously being served upon the Petitioner Company, failing which, it shall be presumed that the authorities have no representations to make on the proposals.

21. Pursuant to the order dated 28th October, 2020 (as modified by order dated 2nd November, 2020), the Petitioner Companies served notices on 13.11.2020 to the statutory authorities. Proof of the same is annexed at Annexure No. 1 to the affidavit of service filed by the Petitioner Companies on 27.11.2020.

22. The counsel for the Petitioner Companies submits that as per the directions of this Hon'ble Tribunal dated 28th October, 2020 (as modified by order dated 2nd November, 2020), the meeting of the unsecured creditors of the Petitioner Company No. 3/"Transferee Company" was duly convened on 19th December, 2020 at the factory of Injectoplast Private Limited (Petitioner Company No. 3/"Transferee Company") i.e., 485/B, Amiliha, P.O. Tatiaganj, Chaubepur, Kanpur – 209 217 (Uttar Pradesh) and Mr. Ranajit Shome, Advocate, Mr. Aman Kumar Dwivedi, Advocate and Mr. Sashi Kant Gupta, PCS acted as the Chairperson, Alternate Chairperson and Scrutinizer respectively for the said meetings.

23. The counsel for the Petitioner Companies further referred to the Chairperson's Report submitted by Mr. Ranajit Shome, Advocate as well as report of Mr. Sashi Kant Gupta, PCS, Scrutinizer, which is annexed to the Chairperson's Affidavit filed before this Tribunal.

24. The perusal of the said reports shows that the Chairperson has reported that the unsecured creditors of Injectoplat Private Limited (Petitioner Company No. 3/"Transferee Company") holding Rs. 89,58,835.79 of outstanding credit have approved the Scheme while creditors holding Rs. 3,07,076.52 voted against the Scheme; the Scheme was approved by an overwhelming majority of unsecured creditors.

25. On 25.12.2020, the Petitioner Companies filed the Second Motion petition being Company Petition No. 01/ALD/2021.

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26. The Bench by order dated 11.01.2021, directed the Petitioner Companies to serve notices upon Income Tax Authority; Regional Director (Northern Region), Ministry of Corporate Affairs, New Delhi; Registrar of Companies; and other sectoral authorities for filing their representation and also directed to effect paper publication in "Business Standard" in English and "Rashtriya Sahara" in Hindi having wide circulation in District Kanpur. The Petitioner Companies complied with the directions.

27. No adverse remark in respect of the Scheme has been made in the response received from the Regional Director, Northern Region or the Registrar of Companies. The Income Tax authorities have also not reported anything adverse in their reply.

28. This Tribunal is satisfied that all the statutory compliance seems to have been made and there is nothing adverse in giving effect to the Scheme. Therefore, the present Petition deserves to be allowed in terms of its Prayer clause.

29. In the result, the Scheme of Amalagamtion annexed as Annexure-A to the Company Petition is duly approved and hereby sanctioned. Petitioner Companies to act upon as per terms and conditions of the sanctioned Scheme of Amalgamation and the same to be binding upon the share holders, secured creditors and unsecured creditors of the above-named Companies with effect from the appointed date.

30. In view of the facts stated above, the following orders are passed:-

i. The Scheme of Amalgamation amongst Kanupriya Enterprises Private Limited (Petitioner Company No. 1/"Transferor Company 1"); Dhritika Holdings Limited (Petitioner Company No. 2/"Transferor Company 2"); Injectoplast Private Limited (Petitioner Company No. 3/"Transferee Company") and their respective Shareholders and Creditors is sanctioned hereby and shall be effective with effect from the Appointed Date as provided in the Scheme of Amalgamation.

ii. Upon the Scheme becoming effective, the Transferor Companies (Petitioner Company Nos. 1 and 2) shall, without any requirement of a further act or deed, stand dissolved without being wound up without any requirement for any further act by the Petitioner Companies, in accordance with the Companies Act, 2013;

iii. Upon the Scheme becoming effective, the respective names of the Transferor Companies (Petitioner Company Nos. 1 and 2) shall be struck off from the records of the Registrar of Companies and the Transferor Companies and Transferee Company shall make necessary filings in this regard;

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iv. Upon the Scheme becoming effective, the authorized share capital of the Transferor Companies (Petitioner Company Nos. 1 and 2) shall stand combined with and be deemed to be added to the authorized share capital of the Transferee Company (Petitioner Company No. 3) without any requirement of a further act or deed on the part of the Transferee Company (Petitioner Company No. 3);

v. Upon the Scheme becoming effective, Clause V of the Memorandum of Association of the Transferee Company (Petitioner Company No. 3) shall stand modified and be substituted by the following:

"The Authorised Share Capital of the Company is Rs. 7,20,00,000/- (Rupees Seven Crores and Twenty Lacs only) divided into 42,00,000 (Forty Two Lacs only) Equity Shares of face value of Rs.10/- each, 1,00,000 (One Lacs only) Preference Shares of face value Rs.100/- each and 20,00,000 (Twenty Lacs only) 5% Cumulative Redeemable Preference Shares of face value of Rs 10/- each with power to increase, reduce, convert, sub-divide and consolidate the same and to issue any of the shares in the capital, original or increased, and to attach thereto respectively such preferential, qualified or special rights, privileges or conditions as regards dividends and payment of capital as may be determined by or in accordance with the regulations of the Company and with power to vary, modify or abrogate any such rights, privileges or conditions in such manner as for the time being is provided by the regulations of the Company and subject to the provisions of the Companies Act, 2013".

And the fee paid by the Transferor Companies (Petitioner Company Nos. 1 and 2) on their authorised share capital shall be set off against any fee payable by the Transferee Company (Petitioner Company No. 3) on its authorised share capital subsequent to the amalgamation.

vi. Upon the Scheme becoming effective and in consideration of Amalgamation of the Petitioner Company No. 1 and 2 with the Petitioner Company No. 3, the Petitioner Company No. 3 shall issue and allot to each equity shareholder of Petitioner Company -1 and Petitioner Company -2 (whose name appear in the register of members as on the Record Date or to their respective heirs, executors, administrators or other legal representatives or the successors-in-title, as the case may be)the following equity shares:

For shareholders of Transferor Company -1

"15,99,000 (Fifteen lakh ninety nine thousand) Equity Share(s) of the face value of INR 10/- (Rupees Ten) each of the Transferee Company, credited as fully paid-up, in proportion of the number of equity shares of Rs 10 each, fully paid-up, held by the shareholders in the Transferor Company-1", and

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For shareholders of Transferor Company -2

"8,01,000 (Eight lakh one thousand) Equity Share(s) of the face value of INR 10 each of each of the Transferee Company, credited as fully paid-up, in proportion of the number of equity shares of Rs 10 each, fully paid-up, held by the shareholders in the Transferor Company-2"

vii. Petitioner companies are granted leave to file the Schedule of Assets within a period of one month from the date on which final orders are pronounced by the Tribunal on this petition;

viii. All the property, rights and powers of the Transferor Companies (as specified in the Schedule of Assets) and all other property, rights and powers of the Transferor Companies be transferred without further act or deed to the Transferee Company and accordingly the same shall pursuant to section 232 of the Act, be transferred to and vested in the Transferee Company for all the estate and interest of the Transferor Companies therein but subject nevertheless to all charges now affecting the same; and

ix. All the liabilities and duties of the Transferor Company be transferred without further act or deed to the Transferee Company and accordingly the same shall pursuant to section 232 of the Act, be transferred to and become the liabilities and duties of the Transferee Company; and

x. All proceedings now pending by or against the Transferor Companies be continued by or against the Transferee Company, which shall include proceedings in regards to Income Tax matters, if any; and

xi. The Transferee Company without further application undertakes to allot such members of the Transferor Companies, as have not given any notice of dissent, as is specified by the Scheme of Amalgamation herein the shares in the Transferee Company to which they are entitled under the said Scheme of Amalgamation.

xii. The Petitioner Companies shall within thirty days of the date of the receipt of this order cause a certified copy thereof to be delivered to the Registrar of Companies for registration in terms of Section 230-232 of the Companies Act, 2013 read with National Company Law Tribunal Rules, 2016 along with The Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, and on such certified copy being delivered the Transferor Companies shall be dissolved and the Registrar of Companies shall place all documents relating to the Transferor Companies and registered with him on the file kept by him

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in relation to the Transferee Company and the files relating to all the Petitioner Companies shall be consolidated accordingly.

xiii. That any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

xiv. All concerned regulatory authorities to act on a copy of this order annexed with the Scheme of Amalgamation duly authenticated by the Asst. Registrar, National Company Law Tribunal, Allahabad Bench.

In view of the above mentioned directions, the Company Petition(CAA) No. 01/ALD/ 2021 is accordingly, disposed off.

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JUSTICE RAJESH DAYAL KHARE

MEMBER (J)

Date: 07.04.2021

Swati Gupta
(LRA)